

Economy

Teaching tables, Confused Pairs, Common Traps, Current Affairs, and other high-yield blocks.

UPPCS + UKPCS Study Library · chapter order follows Subject Notes.

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12 master chapters (chapter map)

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Head	Home
Growth vs development, planning, NITI, LPG reforms, national income / GDP family	Economy 1
Budget, deficits, taxes, GST, Finance Commission, fiscal federalism, subsidies	Economy 2
Money, RBI, monetary policy toolkit, bank types, NPA, UPI / FinTech, financial inclusion (banking angle)	Economy 3
Inflation types / indices, savings–investment, money & capital markets, SEBI / mutual funds / insurance–pension markets	Economy 4
Agri fundamentals: crops, seasons, irrigation, inputs, marketing, credit basics, agri problems	Economy 5
Land reforms, MSP, APMC, agri schemes, food security missions, colour revolutions, FCI / ICAR	Economy 6
Industry, MSME, industrial policy, FDI (industry angle), infrastructure, major industries	Economy 7
Poverty, unemployment, human capital, demographic dividend, inequality, inclusive growth	Economy 8
BoP, forex, exchange rate, trade barriers, CAD, FDI/FPI as external flows, bilateral trade	Economy 9
IMF, World Bank group, ADB, AIIB, NDB, BRICS, G20, G7, SCO, ASEAN, SAARC, BIMSTEC	Economy 10
Services sector, cooperatives, companies / CSR, regulator list (IRDAI, PFRDA, CCI, TRAI, IFSCA, BIS, FSSAI)	Economy 11
Acts / codes, Economic Survey tags, indices / rankings, committees, thinkers, misc CA	Economy 12
NABARD depth	Economy 3 (banking) + one-line in Economy 6 institutions

Head	Home
WTO agriculture	Economy 6 (agri angle) + Economy 9 / 10 (trade / WTO desk)
RBI as regulator name-only	Economy 11 list; full RBI = Economy 3
SEBI markets depth	Economy 4; SEBI in regulator list = Economy 11
UK state economy	uttarakhand/ only
Census, demography, migration, urbanisation depth	Census and Urbanisation Topics 1–7
Demographic dividend (growth opportunity)	Economy 8 (+ age structure in Census Topic 3)

Topic 1 — Indian Economy: Basics, Evolution and Planning

Current Affairs

Year	Fact	Why it matters
2026 (MoSPI)	New National Accounts series with base year 2022–23 (released 27 Feb 2026); replaces 2011–12 .	Real GDP uses 2022–23 prices; do not quote 2011–12 as current base.
2025 (NITI FHI)	Fiscal Health Index 2025 (FY 2022–23): Odisha topped major States; Uttar Pradesh scored 45.9 (7th).	NITI index ranking + UP score stems.
2025 (UKPCS)	NITI set up by Cabinet resolution ; date is 1 Jan 2015 (not 2014); Chairperson is the Prime Minister (not President).	Only the resolution statement stands.
2025 (UKPCS)	11th Plan keyed for inclusive growth .	12th adds sustainable; do not swap.
2024	India = underdeveloped / developing (textbook structure) + mixed economy . Keynes ≠ "Father of Economics".	Adam Smith is the classical father tag.
2024	Development = living standards / welfare; per capita income growth alone is not enough .	Growth ≠ development A/R.
2023 (UPPCS)	Voluntary social service is not an economic activity.	Farming / transport / service are.
2015+	DMEO (18 Sep 2015) is an attached office of NITI Aayog (PEO + IEO merged).	Monitor/evaluate Govt programmes — not PMO / Cabinet Secretariat.

Confused Pairs

A	B	Distinguishing fact
Growth	Development	Output / income rise vs broader welfare / living standards
GDP	GNP	Domestic territory vs residents + NFIA
Nominal GDP	Real GDP	Current prices vs constant prices
GDP deflator	CPI	Output-price index vs retail consumer basket (Topic 4)
Planning Commission	NITI Aayog	Plan allocation body vs think tank from 2015
NITI Chairperson	President	PM chairs NITI; President does not
NITI date 2015	2014	1 January 2015 correct
NITI full-time Chair	full-time Vice-Chair	PM is ex-officio Chair; VC is the full-time head
Economic & Social Planning	Union / State List	Concurrent List (List-III), not exclusive Union/State
NDC	NITI Governing Council	1952 Plan-approval apex vs post-2015 CM forum; NDC not formally abolished
DMEO	PMO / Cabinet Secretariat	Attached office of NITI (18 Sep 2015)
Finance Commission	Planning Commission	Constitutional (Art. 280) vs non-constitutional Plan body
Imperative planning	Indicative planning	Command replaces market vs State guides the market
11th Plan inclusive	12th Plan sustainable+inclusive	Inclusive slogan vs adds sustainable
Plan Holiday 1966–69	Rolling Plan 1978–80	Three Annual Plans after Third vs Janata yearly revision

A	B	Distinguishing fact
Garibi Hatao slogan (1971)	Fifth Plan objective	Election slogan in Fourth-Plan years vs Plan twin goal in Fifth
Bombay Plan	Gandhian Plan	Industrialists / state-led industry vs Agarwal / village-cottage
Adam Smith	Keynes	Father of Economics vs father of modern macro
Mixed economy	Pure capitalist / socialist	Both sectors present vs one-pole ideal types
Rajiv first-phase reforms	1991 LPG	Mid-80s delicensing wave vs systemic crisis reforms
Governors in NITI GC	CMs / Lt Governors	Governors not GC members; CMs and Lt Govs are
National Income	NNPmp	NI = NNP at factor cost , not market price alone
Nominal GDP	Real GDP base year	Current prices vs constant 2022–23 prices (from Feb 2026)
Hindu rate	Population growth	Raj Krishna NI/GDP ~3.5% tag — not population
Real sector	Financial sector	Crops/textiles vs bank lending / Masala bonds
Stabilisation	Structural adjustment	Short-term demand vs long-term supply-side
Naoroji	V.K.R.V. Rao	First NI estimate vs first scientific NI
High COR	Low COR	High capital per output slows growth despite savings
Gadgil–Mukherjee	Finance Commission formula	Plan assistance weights (pop. 60%) vs tax-devolution FC

Common Traps

- Mixed economy = public + private — not small/large industry or primary/secondary alone; Keynes ≠ Father of Economics (Adam Smith).
- Labour-surplus ≠ capital-/trade-surplus; lack of natural resources is **not** an Indian-economy trait.
- Underdeveloped: low PCI + low capital formation — **not** low dependency or tertiary-heavy workforce.
- Voluntary social service ≠ economic activity.
- Growth ≠ development; real GNP rise fails development if poverty/unemployment rise; best growth sign = sustained **real PCI**.
- Hindu rate (Raj Krishna) = NI/GDP ~3.5% — not population/literacy.
- NI = NNP at **factor cost**; NDP = GDP – Dep (never +); $Y = C + I + G + (X - M)$.
- Base year = prices for **real** GDP — current **2022–23** (from Feb 2026); 2015 change was base **and** method (GVA basic prices).
- Unorganised sector / non-monetised output muddies NI; diminishing-cost is **not** a GDP method.
- Real sector (crops/textiles) ≠ financial sector (bank lending / Masala bonds).
- High COR → low growth despite high savings; household savings dominate; physical assets top household saving form.
- Stabilisation (quick, demand) ≠ structural adjustment (gradual, supply); liberalisation pioneered by Manmohan Singh as FM; started with industrial licensing.
- Meltdown ≠ recession ≠ slowdown definitions — only meltdown correctly = stock-price fall in the UPSC pair.
- GDP (domestic) vs GNP (+ NFIA); real vs nominal; deflator ≠ CPI key.
- NITI: 1 Jan **2015**, Cabinet resolution, **PM** Chair, first VC **Panagariya**; no old Plan-fund role; Governors ≠ GC; full-time VC not full-time Chair.
- Economic & Social Planning = **Concurrent List** — not Union/State exclusive.
- DMEQ = attached office of **NITI** (18 Sep 2015) — not PMO / Cabinet Secretariat / Home.
- NDC (6 Aug 1952, PM Chair) = final FYP approval — not formally abolished; little work after NITI GC.
- Finance Commission (Art. 280) ≠ Planning Commission (non-constitutional Plan body).
- Imperative = command replaces market; indicative = guides market.

- Gadgil–Mukherjee: **population 60%** highest weight — not performance first.
- 11th = inclusive; 12th = inclusive + sustainable; 12th is **last** FYP.
- Plan Holiday **1966–69** ≠ Rolling Plan **1978–80** (Janata / Myrdal).
- Garibi Hatao slogan (1971) vs Fifth Plan twin objective — read the stem carefully.
- Bombay Plan ≠ Dhirubhai Ambani; Gandhian Plan = S.N. Agarwal; Sarvodaya = JP Narayan; NPC = Bose + Nehru.
- Rajiv = early liberalisation phase; 1991 Rao = LPG package.
- NITI ≠ Finance Commission (Art. 280).
- Bihar lowest PCI; Maharashtra largest State economy; Naoroji first estimate / V.K.R.V. Rao scientific / Mahalanobis 1949 committee.
- SDG nodal = **NITI**; Fiscal Health Index 2025 top = **Odisha**; UP FHI = **45.9**.

Topic 2 — Public Finance, Budget, Taxation and Fiscal Policy

Current Affairs

Year	Fact	Why it matters
2025 (UPPCS)	Match 11th–14th FC chairmen: Khusro → Rangarajan → Kelkar → Y.V. Reddy .	Rangarajan/Reddy swap is the trap.
2025 (CA)	GST Council / Union path toward a simplified rate structure (merit / standard / demerit lanes) after multi-slab years.	Destination GST + Council process still the constitutional spine.
2024	GST introduced by the 101st Amendment (not 73rd / 86th / 91st).	Repeated Amendment stem.
2024	CFI 266 · FC 280 · Financial Emergency 360 · CAG 148 .	Article-match table.
2023	FC = Chair + four members; report goes to the President , not NITI.	Both “six members” and “NITI report” fail.
15th FC period	Vertical devolution tagged 41% for States (14th had raised share to 42%).	Do not swap 42 / 41.
Budget process	Annual Financial Statement is laid by the Finance Minister on behalf of the President (Art. 112) — not the Prime Minister.	IAS 2024 trap.
Gender Budget	First introduced in Union Budget 2005–06 .	Year stem.
FRBM statements	Macro-Economic Framework Statement is mandated by the FRBM Act, 2003 (not Art. 112/110 alone).	IAS 2020.

Confused Pairs

A	B	Distinguishing fact
Revenue deficit	Fiscal deficit	Current gap vs total borrowing need
Fiscal deficit	Primary deficit	Includes interest vs strips interest
Art. 266 CFI / Public Account	Art. 267 Contingency Fund	Main pools vs imprest for unforeseen spend
FC report → President	FC report → NITI	Constitutional path vs wrong trap
Chair + 4	Chair + 6	Five persons total vs inflated count
Qualifications by Parliament	Qualifications by President	1951 Act vs appointment power
14th FC 42%	15th FC 41%	Peak devolution vs post-J&K adjusted share
GST 101st	73rd / 86th / 91st / 102nd+	GST vehicle vs other amendments
GST Council Chair = FM	Chair = PM / President	279A design
Direct Tax Code	GST / VAT	Income-tax reform lane vs indirect tax
Tobin tax	Income / property tax	Forex transactions vs domestic bases
Progressive	Degressive (India key)	Pure rising slabs vs PCS “degressive” label for India
Charged expenditure	Voted expenditure	Charged on CFI vs needs grant vote
CGST + SGST	IGST	Intra-State vs inter-State / import
AFS laid by FM for President	Laid for / by Prime Minister	Art. 112 + Art. 113(3) demand recommendation
Macro-Economic Framework Statement	Annual Financial Statement	FRBM Act mandate vs Art. 112 Budget document
Fiscal policy (MoF)	Monetary policy (RBI)	Tax / spend / debt vs CRR / repo / bank rate
Policy Cut (₹1)	Token Cut (₹100)	Disapproval of policy vs token protest

A	B	Distinguishing fact
Vote on Account	Full Budget / Vote of Credit	Interim appropriation vs full-year grant
Customs (outside GST)	VAT / Service tax (subsumed)	Border levy stays; cascading domestic levies went
Gender Budget 2005–06	TEC India / Saptarishi themes	First gender statement year vs later Budget slogans
ZBB origin USA	ZBB first India dept (DST 1980s)	Country of origin vs Indian adoption
Marketism without exit	Socialism with limited entry	Chakravyuha Survey key vs the starting regime

Common Traps

- FC = Chair + **four** (not six); report to **President** (not NITI); qualifications by **Parliament** (not President).
- 14th FC **42%** vs 15th FC **41%**; do not swap Rangarajan (12th) and Reddy (14th).
- GST = **101st** Amendment; Council chaired by **Union FM**; Centre weight **1/3**.
- GST subsumed **VAT** and related indirect taxes — not income / corporation / ordinary property tax.
- **Customs, alcohol for human consumption, electricity** and **petroleum** stay outside GST until notified.
- Contingency Fund **267** ≠ Consolidated Fund / Public Account **266**.
- Fiscal deficit = borrowing need; primary deficit strips interest; revenue deficit is the current gap.
- DTC → **Income Tax**; Tobin → **forex**; India PCS key for tax-system type → **Degressive**.
- FRBM (2003) disciplines deficits; Macro-Economic Framework Statement is an **FRBM** document — not Art. 112 alone.
- AFS is laid by the **FM on behalf of the President** — not the Prime Minister; demands need the **President's** recommendation.
- Fiscal policy = **MoF** (tax / spend); monetary policy = **RBI** (rates / CRR).
- Policy Cut = **₹1**; Token Cut = **₹100**; Vote on Account ≠ full-year grant.
- Gender Budget start = **2005–06**; TEC India ≠ Educate India; Saptarishi = 2023–24; Viksit Bharat 2024–25 nine priorities exclude “Sustainable Development”.
- Chakravyuha = **marketism without exit**; tax/GDP and FD/GDP have **not** risen steadily every year.

Topic 3 — Money, Banking, RBI and Financial System

Current Affairs

Year	Fact	Why it matters
2025 (UKPCS)	One State, one RRB wave: government announced merger of 26 RRBs (ten States / UTs), taking the national RRB count from 43 → 28 .	Merger arithmetic stem.
2024	RBI's standout Prelims function among distractors: issue of currency notes (not income tax, census, or foreign policy).	Simple function stem.
2024	Financial inclusion steps keyed together: bank nationalisation + RRBs + village adoption by branches .	All three count.
MPC / FIT	Flexible inflation targeting: headline CPI 4% ± 2% ; 6-member MPC ; RBI Governor chairs (not Finance Minister).	Toolkit identity vs Topic 4 index depth.
SDF (2022)	Standing Deposit Facility absorbs liquidity without collateral; sits with LAF corridor teaching.	Floor of the corridor story.

Confused Pairs

A	B	Distinguishing fact
M1	M3	Narrow vs broad (adds time deposits)
Repo	Reverse repo / SDF	RBI lends to banks vs absorbs liquidity
CRR	SLR	Cash with RBI vs liquid assets with bank
Bank rate	Repo rate	Older / penal signal vs LAF overnight policy rate
Payments Bank	Small Finance Bank	No ordinary loans vs full bank with inclusion mandate
NABARD	RRB / commercial bank	Apex refinance vs retail rural lending
RBI issues notes	Govt ₹1 note	RBI banknotes vs government ₹1
MPC Chair = Governor	Chair = Finance Minister	Statutory MPC design
Lead Bank Scheme	Loan Banking Scheme	Official LBS expansion
Nationalisation 1969	1980 second round	14 banks vs 6 more
Appreciation	Depreciation	Currency rises vs falls vs another
NPA	PSL	Bad loan classification vs mandated lending sectors
Narasimham	Raghuram Rajan FSR	1991/98 banking reforms vs 2008 next-gen financial reforms
FSDC Chair = FM	NITI organ	Finance Minister apex council — not NITI
CRA regulator = SEBI	RBI regulates CRAs	SEBI (Credit Rating Agencies) Regulations
SHG pioneer = NABARD	SHG pioneer = SBI alone	NABARD designed SHG-BLP; banks finance
Plastic / smart money	Paper currency	Credit/debit cards vs notes
KCC consumption + investment	Only investment credit	Both farm household needs covered

Common Traps

- RBI issues notes (not tax, census, foreign policy); ₹1 is the government exception.
- MPC = **6** members, **Governor** chairs, CPI **4% ± 2%** — not Finance Minister as Chair.
- Repo injects; reverse repo / SDF absorbs; CRR = cash with RBI (no interest); SLR = liquid assets with bank.

- Payments Banks ≠ loan banks; Small Finance Banks can lend.
- Inclusion: nationalisation + RRBs + village adoption; LBS = **Lead Banking Scheme** (not Loan Banking...).
- Rural chronology: **RRB 1975** → **NABARD 1982** → **SHG 1992** → **KCC 1998**.
- SHG pioneer = **NABARD**; group shares repayment burden; RRBs + SCBs finance.
- Narasimham = banking reforms (cut SLR/CRR); Bhandari = RRB restructuring; Rajan 2008 = next-gen FSR.
- FSDC Chair = **Finance Minister** — not NITI; CRA regulator = **SEBI**.
- Plastic / smart money ≈ **credit card**; UPI = Unified Payments Interface.
- KCC = consumption **and** investment credit; Ombudsman orders are **not** final without further remedy.
- NABARD = apex refinance — not “RBI is the agri refinance apex” in the UKPCS key.
- Appreciation ≠ depreciation; exchange-rate regimes deepen in Topic 4/9 as needed.

Topic 4 — Inflation, Prices, Savings, Investment and Markets

Current Affairs

Year	Fact	Why it matters
2024 (UPPCS)	Retail inflation in India is measured by CPI (not WPI / IIP / GDP deflator).	Four-way index trap.
2024 (UKPCS)	Inflation including food and energy = headline ; stripping them = core .	Headline $\neq$ core.
2021	WPI released by Ministry of Commerce and Industry (OEA / DPIIT).	Not RBI / Finance / Consumer Affairs.
2021	Headline inflation keyed on Combined CPI .	Not WPI or CPI-IW alone.
FIT link	RBI targets CPI (Combined) at 4% $\pm$ 2% — toolkit detail in Topic 3.	Index choice vs instrument choice.

Confused Pairs

A	B	Distinguishing fact
Inflation	Disinflation	Rising prices vs falling inflation <i>rate</i>
Deflation	Disinflation	Falling price level vs slowing inflation
Headline	Core	Full basket vs ex-food & fuel
CPI	WPI	Retail (+ services) vs wholesale goods only
CPI agency (MoSPI/NSO)	WPI agency (Commerce / OEA)	Different ministries
Retail inflation key	GDP deflator / IIP	CPI vs output-price / production index
Debtors gain	Bondholders / fixed income lose	Real debt burden falls vs real receipts erode
Money market	Capital market	Short-term vs long-term
Primary market	Secondary market	New issue vs trading existing securities
SEBI	RBI	Securities market vs monetary / banking
Demand-pull	Bottleneck / cost-push	Excess demand vs supply constraints / costs
Mutual fund	Direct equity only	Pooled diversified portfolio vs single-stock DIY

4.4 Financial markets — money, capital, SEBI, funds, pensions

Money market vs capital market

- The **money market** deals in short-term instruments (call money, T-bills, commercial paper, certificates of deposit etc.).
- The **capital market** funds long-term equity and debt (shares, bonds, debentures).
- Money-market tenors are typically up to one year; capital-market tenors are longer.

Common Traps

- **Retail / headline = CPI (Combined); WPI = Commerce & Industry, goods only, no services.**
- **Core** excludes food & energy; **headline** includes them.
- **IIP** and **GDP deflator** are not the retail-inflation key.
- Inflation helps **debtors**, hurts **bondholders / fixed income**.
- **Bottleneck** inflation = supply / distribution — hard for demand tools alone.

- **Disinflation** $\neq$ **deflation**; **stagflation** = inflation + stagnation.
- Money market = short-term; capital market = long-term; SEBI $\neq$ RBI.
- Repo / MPC instruments live in Topic 3 — this chapter owns the **index** and **market-product** side.

Topic 5 — Agriculture and Indian Agricultural Economy

Current Affairs

Year	Fact	Why it matters
IYM / Shree Anna	UN International Year of Millets 2023 ; India brands millets as Shree Anna.	Millet producer / export stems.
Nano urea / DAP	IFFCO Kalol commercial nano liquid urea / nano DAP plants.	Place–product identity.
PM-PRANAM	Union Budget 2023–24 incentive for states to cut chemical fertilizer use.	Scheme name stem.
Agri-Stack / DPI	Digital Public Infrastructure for Agriculture narrative.	Rolling CA — refresh figures from Survey.

Confused Pairs

Pair (A vs B)	Correct Feature / Institution	Trap to avoid	Hindi keyword
Marginal Holding vs Small Holding	Marginal: Less than 1.00 ha (68.5% holdings). Small: 1.00 to 2.00 ha (17.7% holdings).	Do NOT call 1–2 ha marginal; SMFs together make 86.2% .	सीमांत (<1 ha) / लघु (1-2 ha)
Cost A2+FL vs Cost C2	A2+FL: Paid expenses + family labor value (Govt 1.5x formula). C2: Comprehensive cost (+ land rent & interest on capital).	Swaminathan Commission recommended C2 + 50%, NOT A2+FL.	A2+FL (सरकारी आधार) / C2 (स्वामीनाथन सिफारिश)
CACP vs CCEA	CACP: Recommends MSP (Advisory body, 1965). CCEA: Apex body that <i>approves and announces</i> MSP (Chaired by PM).	Do NOT mark CACP as the final approving body for MSP.	CACP (सलाहकार) / CCEA (अंतिम निर्णय)
MSP vs FRP	MSP: Announced for 22 mandated agricultural crops. FRP: Statutory price fixed under Essential Commodities Act for Sugarcane .	FRP is unique to Sugarcane; grains/pulses have MSP.	MSP (22 फसलें) / FRP (गन्ना)
Urea Subsidy vs NBS	Urea: MRP is statutorily fixed by Govt; difference paid as subsidy. NBS (2010): Annual subsidy fixed per kg (N, P, K, S); MRP decontrolled.	Non-urea fertilizers do NOT have statutory MRP control.	यूरिया (नियंत्रित) / NBS (अनियंत्रित MRP)
NABARD vs RBI in Agri Credit	NABARD (1982): Apex developmental refinancing institution for agriculture. RBI: Central monetary regulator fixing PSL norms (18% ANBC).	NABARD does NOT give direct loans to retail individual farmers.	नाबार्ड (पुनर्वित्त) / वाणिज्यिक बैंक (प्रत्यक्ष ऋण)
e-NAM vs APMC	APMC: Physical state-level agricultural produce market committees. e-NAM: Pan-India electronic networking portal aggregating APMCs.	e-NAM does NOT abolish physical mandis; it integrates them digitally.	APMC (भौतिक मंडी) / e-NAM (डिजिटल पोर्टल)
Amber Box vs Green Box	Amber Box: Trade-distorting subsidies (MSP, input subsidies; capped at 10%). Green Box: Non-trade distorting (R&D, disaster relief; allowed without limit).	MSP procurement falls in the Amber Box, NOT the Green Box.	अंबर बॉक्स (व्यापार विकृत) / ग्रीन बॉक्स (स्वीकृत)

Pair (A vs B)	Correct Feature / Institution	Trap to avoid	Hindi keyword
PMKSY Per Drop More Crop vs Har Khet Ko Pani	Per Drop More Crop: Micro-irrigation (Drip & Sprinkler). Har Khet Ko Pani: Creating new water sources, repair of water bodies.	Do not confuse micro-irrigation with surface water creation.	प्रति बूंद अधिक फसल (सूक्ष्म सिंचाई)
Sikkim vs Lakshadweep Organic	Sikkim: First 100% Organic State in India/World (2016). Lakshadweep: First 100% Organic Union Territory (2020).	Watch the State vs Union Territory distinction in questions.	सिक्किम (राज्य) / लक्षद्वीप (UT)

5.3 Irrigation Architecture and Water Management

Source-wise Share in Net Irrigated Area of India

Irrigation Source	National Share (%)	Geographical Distribution & Leading States	Economic Advantages & Environmental Hazards
Wells & Tube-wells (नलकूप एवं कुएं)	~62% – 64% (Dominant Source)	Heavily concentrated in the Indo-Gangetic Plains: Uttar Pradesh, Punjab, Haryana, Rajasthan, Gujarat, Bihar.	Advantages: Independent farmer control, on-demand irrigation, high application efficiency. Hazards: Over-exploitation of aquifers, creating “dark zones” and ground subsidence; power subsidy distortion.
Canals (नहरें)	~23% – 25% (Second Largest)	Extensive in alluvial river plains: Uttar Pradesh, Punjab, Haryana, Andhra Pradesh, Rajasthan (Indira Gandhi Canal).	Advantages: Harnesses perennial river runoff; low recurring operational cost for farmers. Hazards: Waterlogging (<i>Seep</i>), soil salinization and alkalinization (<i>Reh/Kallar</i>), siltation of canals.
Tanks (तालाब / जलाशय)	~3% – 4%	Ancient indigenous system prevalent in the hard-rock Deccan plateau: Tamil Nadu, Andhra Pradesh, Telangana, Karnataka.	Advantages: Eco-friendly, rainwater harvesting, recharges groundwater. Hazards: Silt accumulation, highly dependent on local seasonal rainfall, seasonal drying.
Other Sources (Lifts, Springs, Streams)	~7% – 9%	Mountainous valleys, coastal deltas, wetlands: Uttarakhand, Himachal, North-Eastern states.	Localized small-scale mountain systems (<i>Kuhl</i> in Himachal).

5.5 Sustainable, Organic and Natural Farming

2. Natural Farming vs Organic Farming

- **Organic farming** often permits off-farm organic inputs (e.g. commercially purchased vermicompost, bio-fertilizers) and requires rigorous certification.
- **Natural farming** strictly prohibits all external purchased inputs; all soil nutrients and pest repellents must be prepared on-farm using indigenous cow dung, cow urine, and local biomass.
- **Zero Budget Natural Farming (ZBNF):**
 - Pioneered by Padma Shri **Subhash Palekar** in Maharashtra and Karnataka.
 - **Four Pillars of ZBNF:**
 1. **Jeevamrutha (जीवामृत):** Fermented liquid microbial inoculant made of fresh indigenous cow dung, cow urine, jaggery, pulse flour, virgin soil, and water; stimulates soil earthworms and microbial activity.

2. **Bijamrutha (बीजामृत):** Seed treatment concoction using cow dung, urine, and lime to protect young seedlings from seed-borne and soil-borne fungal pathogens.
3. **Acchadana (आच्छादन - Mulching):** Soil, straw, and live mulching to preserve topsoil moisture and suppress weeds.
4. **Whapasa (वापसा):** Micro-climatic soil moisture aeration condition where both air and water molecules coexist in equal balance in root zones, slashing water needs by over 80%.

Common Traps

| Trap | Correct | |—|—|—| | Agriculture % of GDP | 25-30% | Agriculture contributes **~17-18%** of GDP (2022-23) | | Agriculture employment | 60%+ | Agriculture employs **~45-48%** (down significantly) | | India's largest soil type | Black soil | **Alluvial soil** is largest (~43%); Black soil = ~15% | | Black soil crops | Rice, wheat | Black soil = **Cotton** (primary); "Regur" or "Cotton soil" | | Laterite soil suitability | Food grains | Laterite = poor for food; good for **Tea, coffee, rubber, cashew** | | Kharif harvesting | March-April | Kharif harvested **September-October** (Rabi harvested March-April) | | Major irrigation source | Canals | **Groundwater/tubewells** = largest source (~62% of net irrigated area) | | India groundwater | Small user | India = **world's largest groundwater user** (~25% of global extraction) | | PMKSY motto | More Crop Per Drop only | Full: "**Har Khet Ko Paani, More Crop Per Drop**" | | Average farm size | 2+ hectares | Average farm size = **1.08 ha** (2015-16; declining) | | Food grain production | 250 MT | **330 MT** (2022-23, all-time record) |

Topic 6 — Agricultural Policies, Schemes, MSP and Revolutions

Current Affairs

Year / Paper	Critical fact	Trap to avoid
2025 (UKPCS Pre)	Dr. Verghese Kurien is the Father of the White Revolution. NDDB was established in 1965 at Anand, Gujarat.	Operation Flood was launched in 1970 — do not confuse NDDB founding (1965) with Flood launch (1970).
2024 (UPPCS Pre)	CACP recommends MSP for 22 mandated crops + FRP for sugarcane.	Sugarcane gets FRP , not MSP (Sugarcane Control Order, 1966).
2024 (UKPCS Pre)	National Commission on Farmers (Swaminathan, 2006) recommended MSP at least C₂ + 50% .	Government currently fixes MSP at 1.5 × (A₂ + FL) , not C ₂ + 50%.
2025–2026 focus	PMGKAY free foodgrain (5 kg/person/month for Priority Households; 35 kg/household/month for AAY) extended under NFSA through December 2028 .	Older NFSA issue prices of ₹2/₹3 per kg were reduced to ₹0 (100% free) under the PMGKAY integration.

Confused Pairs

A	B	Correct distinction
Father of Green Revolution (World)	Father of Green Revolution (India)	Norman Borlaug (Nobel 1970) vs M.S. Swaminathan (Bharat Ratna 2024).
White Revolution	Green Revolution	Milk / Operation Flood (Kurien, 1970) vs HYV wheat–rice (Swaminathan, 1966).
NDDB founding	Operation Flood launch	NDDB 1965 (Anand) vs Flood 1970 .
Yellow Revolution	Golden Revolution	Oilseeds (Sam Pitroda) vs horticulture / honey / fruits (Nirpakh Tutej).
Golden Fibre	Silver Fibre	Jute vs cotton .
Silver Revolution	Silver Fibre	Eggs / poultry vs cotton .
Round Revolution	Grey Revolution	Potato (CPRI Kufri) vs fertilizers .
Pink Revolution	Red Revolution	Onion / prawn / pharma vs meat / tomato .
Sweet Revolution	Sugarcane / FRP	Sweet = honey / beekeeping ; sugarcane price = FRP / SAP .
Cost A ₂ + FL	Cost C ₂	A ₂ +FL = paid costs + family labour (govt 1.5× base) vs C ₂ adds land rent + fixed-capital interest (Swaminathan C₂+50%).
MSP	FRP	Floor for 22 crops (CACP → CCEA) vs statutory sugarcane price (Control Order 1966).
FRP	SAP	Central statutory floor vs State advised price (often higher).
CACP	CCEA	Recommends MSP vs approves MSP.
FCI	NAFED / NCCF	Mainly wheat–rice procurement vs pulses / oilseeds / copra under PSS.
Priority Households	AAY	5 kg per person / month vs 35 kg per household / month .
PM-KISAN	PMFBY	Income support ₹6,000/year vs crop insurance premiums 2% / 1.5% / 5%.
e-NAM	APMC abolition	e-NAM networks mandis digitally; it does not abolish physical APMCs.
Palm oil support	CACP MSP oilseeds	Palm uses Viability Price (NMEO-OP), not the 22-crop MSP list.

Common Traps

Topic	Classic trap	Correct truth
CACP vs CCEA	CACP finally fixes MSP	CACP recommends ; CCEA approves
Sugarcane price	Sugarcane gets MSP	Sugarcane gets FRP (Control Order 1966); States may add SAP
MSP formula	Current = $C_2 + 50\%$	Current benchmark = $1.5 \times (A_2 + FL)$; $C_2 + 50\%$ = Swaminathan recommendation
NDDB vs Flood	Both in 1970	NDDB 1965 ; Operation Flood 1970
PM-KISAN scope	Still only <2 ha	Expanded June 2019 to all landholding farmer families (with exclusions)
NFSA issue price	Still quote ₹2/₹3	Under PMGKAY integration, covered grain is free through Dec 2028
PHH vs AAY units	Swap person/household	PHH 5 kg/person ; AAY 35 kg/household
Golden Fibre vs Silver Fibre	Swap jute/cotton	Golden Fibre = jute ; Silver Fibre = cotton
Sweet Revolution	= sugarcane	Sweet = beekeeping / honey
PMFBY compulsory	Always compulsory for loanee farmers	Voluntary for all from Kharif 2020
PMFBY replaced	Only NAIS	Replaced NAIS and MNAIS
e-NAM agency / year	FCI / 2015 or 2017	SFAC ; launched 14 April 2016
Palm oil	Inside 22 MSP crops	Uses Viability Price under NMEO-OP
FCI vs NAFED	FCI procures all MSP crops	FCI mainly wheat-rice ; pulses/oilseeds PSS via NAFED/NCCF
PM-AASHA	Only two components	Three : PSS + PDPS + PPSS
AIF corpus	₹50,000 Cr or ₹2 lakh Cr	₹1 lakh crore (2020–2032)
CPRI location	Agra	Kufri, Shimla
Bharat Ratna 2024	Norman Borlaug	M.S. Swaminathan
Agri PSL	20% or 25% of ANBC	Agriculture 18% of ANBC
KCC effective rate	Flat 7% forever	Subvention + prompt repayment can make effective rate about 4%

Topic 7 — Industry, MSME and Infrastructure

Current Affairs

Year	Fact	Why it matters
2024	Singapore as top FDI source in 2023–24 teaching; India–Mauritius tax treaty change shifted routing away from Mauritius.	A true + R explains A.
2023	PM Gati Shakti seven engines correct; launch year is 2021 , not 2022.	Date trap.
2022	Make in India launched 2014 ; aims to encourage manufacturing in India and facilitate investment.	Both statements.
2021 (UKPCS)	Latest MSME classification revision effective 2020 (1 July 2020).	Composite investment + turnover.
2025	MSME investment / turnover ceilings raised again (w.e.f. 1 April 2025) — 2.5× investment and 2× turnover over the 2020 bands.	Stem year decides which ceiling set.
SSI committees	Keyed order Karve → Abid Hussain → Nayak → Kohli (IV, II, I, III) — middle pair is contested vs some date lists; carry Karve first / Kohli last as safe anchors.	Chronology stem.
CSR / companies	CSR statute depth lives in Topic 11 ; labour codes / Act chronology deepen in Topic 12 .	Topic border.

Confused Pairs

A	B	Distinguishing fact
Make in India 2014	Gati Shakti 2021	Manufacturing mission vs infra master plan
Gati Shakti 2021	“Launched 2022” trap	Oct 2021 correct
MSME 2020 composite	Old plant & machinery-only split	Investment + turnover; mfg = services
MSME 2020 ceilings	MSME Apr 2025 ceilings	Stem year picks the band
FDI	FPI	Lasting control interest vs portfolio
Disinvestment	Privatisation / strategic sale	Equity sale vs control transfer
Cottage	MSME factory unit	Household artisan vs enterprise thresholds
IIP (mining–mfg–electricity)	Construction / gas–water in IIP	Construction is NOT in IIP
Eight Core Industries	Chemical / textile as “core”	Chemical & textile not in the eight
Bharatmala	Sagarmala	Roads vs ports/coastal
NIP FY 2019–25	“NIP 2020–30” trap	Period in A is wrong in UPSCS 2020 key
NIIF	NITI Aayog organ	Finance Ministry infra fund — not NITI
Make in India / Startup / EoDB	Digital India	Industrial facilitation vs digital society
PNGRB	“First Indian regulator”	2006 board; older regulators exist
Stand-Up India (SC/ST/women)	MUDRA (micro enterprise credit)	Identity-targeted greenfield vs micro loan bands
Karve (1955)	Kohli (latest of four)	Oldest vs newest in the set
Singapore FDI source	Mauritius historic routing	Recent top source vs treaty-shift story
Seven engines	Sixteen ministries on GIS	Engine list vs portal integration count
Bhilai–Russia	Rourkela–Germany	Steel collaboration countries

Common Traps

- **Make in India = 2014** (lion logo); **Gati Shakti = 2021** (not 2022) + **seven engines**.
- MSME **2020** composite — then **Apr 2025** ceiling hike; stem year wins.
- SSI chronology keyed **Karve** → **Abid Hussain** → **Nayak** → **Kohli**.
- IIP = mining + manufacturing + electricity — **not** construction.
- Eight Core ≠ chemicals/textiles; heaviest weight = **refinery products**.
- NIP period ≠ "2020–30"; NIIF ≠ NITI organ; corpus ≠ ₹4 lakh crore.
- Bharatmala = **roads**; DMIC partner = **Japan**.
- Stand-Up India = SC/ST + women; MUDRA max now **₹20 lakh** teaching.
- Digital India ≠ industrial initiative; PNGRB ≠ first regulator.
- FDI ≠ FPI; Services = classic top sector; Singapore = recent top **source**.
- Steel map: Bhilai–Russia, Rourkela–Germany, Durgapur–UK, Bokaro–USSR.
- CSR / Kotak governance → Topic 11; labour codes → Topic 12.

Topic 8 — Employment, Poverty, Human Capital and Social Economy

Current Affairs

Year	Fact	Why it matters
2025 (HDR)	India's HDI rank 130 (2023, HDR 2025); life expectancy rose from 58.6 (1990) to 72 (2023).	Rank / LE update stems.
2026 (WHR)	World Happiness Report 2026: India ≈ 116th (improving vs mid-120s earlier).	Happiness ≠ HDI; do not mix ranks.
2025	MPI introduced 2010 ; it is not the 1/day money line.	Income poverty ≠ MPI.
2025	Social indicators of poverty include illiteracy, water, jobs — not size of house .	Quality of dwelling ≠ floor area.
2025	First HDR/HDI 1990 (Mahbub ul Haq); "Haq + S. Priesner" team tag fails.	Sen/capability circle, not Priesner.
2025	Human-capital investment yields future returns because education and health raise productivity.	A/R both true, R explains A.
2024	HDI uses income, education, life expectancy — not environment condition.	Three-pillar trap.
2022	Demographic dividend keyed to working-age 15–59 (Indian convention).	Not 60+, 0–6, or 14–50.
UKPCS 2025	Dadabhai Naoroji used jail cost of living for an early poverty-line estimate.	Pre-Independence estimate tag.

Confused Pairs

A	B	Distinguishing fact
Income / consumption poverty	MPI	Money line vs deprivation score
HPI (1997)	MPI (2010)	Older UNDP poverty index vs household MPI
Alagh	Tendulkar / Rangarajan	Nutrition-exclusive classic vs later revisions
HDI trio	Environment as HDI pillar	Health–education–income; environment not in HDI
HDI	PQLI	UNDP composite (1990+) vs Morris mid-1970s literacy–IMR–LE
PCI → PQLI → HDI	HDI first historically	Correct chronology of measures
Capability Approach (Sen)	Basic Needs Approach	Freedoms/capabilities vs minimum needs list
GNH (Bhutan)	GNP / GDP	Happiness / well-being index vs income aggregate
World Happiness Rank	HDI Rank	Subjective well-being survey vs UNDP composite
Kerala State HDI	Bihar State HDI	Long-time top vs bottom among States
BNI five dimensions	Six dimensions / 2018-only	Water–sanitation–housing–micro-environment–other; 2012 & 2018
Demographic dividend 15–59	15–64 UN band / wrong ages	Indian key vs distractors
Natural growth (CBR–CDR)	Migration / marriages	Natural change excludes migration
Great Divide 1921	1951 demographic take-off	Only negative decade vs post-Independence rise
Synchronous Census 1881	First effort ~1872	Regular sync vs Mayo-era first attempt
Bihar densest (2011)	West Bengal densest (2001)	Stem Census year wins
Nagaland negative growth (2011)	Kerala lowest growth forever	Edition-bound lows

A	B	Distinguishing fact
Most urbanized share (Goa)	Largest urban absolute (Maharashtra)	% urban vs total urban headcount
Census Town criteria	Physical expansion / area size	5,000 + 75% non-agri males + 400/sq km
JNNURM (2005, ~7 yr)	10-year / electrification objective	Duration and objective traps
World Population Day (11 July)	Other UN observance days	Five Billion Day origin 11 July 1987
UNFPA State of World Population	IMF / WHO / UNDP report swap	Publisher trap
Asia densest continent	Africa highest growth	Density vs growth rate
Disguised	Seasonal	Surplus labour year-round vs season-linked
LFPR	Unemployment rate	Participation vs joblessness among labour force
House size	Housing quality	Floor area ≠ MPI living-standard materials
Naoroji jail-cost line	Tendulkar line	Early nationalist estimate vs modern NSS line
Human capital	Physical capital	Skills/health in people vs machines/buildings
Social capital	Human capital	Trust/harmony vs skills/knowledge/health
Brundtland Report	Limits to Growth	Our Common Future 1987 vs Club of Rome 1972
Inclusive growth	High NI growth alone	Broad opportunity vs aggregate GDP rise
Irrigation	Education / health / training	Not direct HC vs direct HC levers
Agenda 21 (1992)	Agenda 21 in 1995	Rio Earth Summit year trap
ADP (Jan 2018)	ABP (Jan 2023)	112 districts / 49 KPIs vs 500 blocks
PM-JAY ₹5 lakh / family	₹5 lakh / person	Family cover trap
PMKVY (MSDE)	Ministry of Labour flagship	Skill ministry ownership
NRHM 2005 / Tenth Plan	Eleventh Plan launch	Plan-period trap
RSBY (unorganised)	Organised-sector only	Worker-category trap
Swadhar (difficult circumstances)	Swayam Siddha (SHG empowerment)	Labels often reversed in stems
Bharat Nirman six components	Sanitation / SSA / hospitals as BN	Infrastructure set only
STRIVE / SANKALP / SHREYAS	STRIDE (UGC)	Skill vs research scheme
PAHAL (LPG DBT)	Any other DBT as Guinness largest	PAHAL is the keyed world-record DBT
SGSY (1999)	NRLM (2011) / DAY-NRLM (2016)	Self-employment restructure → SHG mission rename
MGNREGA 100 days / household	100 days / every adult	Household guarantee trap
NREGA force Feb 2006	Rename Oct 2009	Start vs MGNREGA nomenclature
SJSRY (urban)	Rural employment	Urban poor wage/self-employment
APY spouse continuation	Only one family member can join	Spouse true; exclusivity false
PM-SYM family pension = spouse	Spouse + unmarried daughters	Spouse-only keyed family pension
SBM (sanitation / ODF)	Safe drinking water aim	SBM ≠ JJM
NSAP pensions / Annapurna	Mahila Kisan Sashaktikaran	NSAP set excludes MKSP
Community Development 1952	NES 1953	Multi-purpose CDP vs extension coverage
Alagh 2400 / 2100 kcal	Any single all-India calorie	Rural vs urban calorie norms

A	B	Distinguishing fact
Tendulkar ₹26 / ₹32	Rangarajan ₹32 / ₹47	Two different committee lines
Higher Gini	Lower inequality	Higher Gini = more unequal
SVAMITVA (Panchayati Raj)	Ministry of Mines	Drone Abadi mapping desk
CORS geodesy	Cross-Origin Resource Sharing	Continuous Operating Referencing System
PMAY Housing for All 2022	IAY / RAY alone	Current umbrella vs older rural / slum schemes
SSA (2001)	Samagra Shiksha (2018)	Elementary mission vs SSA+RMSA+TE amalgam
Mid-day Meal 1995	PM POSHAN 2021 rename	Launch vs rename

8.3 Human capital, HDI and inclusive growth

Social capital vs human capital vs physical capital

- **Social capital** is mutual trust, shared norms and harmony that make cooperation cheaper.
- **Human capital** is skills, knowledge and health in people — built by education, training and medical care.
- **Physical capital** is machines, buildings and infrastructure.
- **Irrigation does not directly form human capital** — it is farm/physical capital.
- Skill programmes (for example PMKVY) enhance **human capital**.
- World Bank **Human Capital Index 2020: Singapore** topped; India ≈ **116th** in that update.

8.6 Urbanization — definitions, levels and city hierarchy

City vs village and causes

- A city differs from a village in **social values, household composition, way of living and economic activities** — all four are correct in classic keys.
- Rural community elements include we-feeling, territory and self-sufficiency; **cultural diversity** is an urban feature, not a rural one.
- Urban life features competition, impersonal relations and loss of humanistic value; **informal ties** are not a classic urban feature.
- Causes of urbanization: rural–urban migration, city educational institutions and industrialization — **high rural living standards** are **not** a cause (they reduce push migration).
- Push–pull logic: rural distress pushes; city jobs, schools, hospitals and infrastructure pull.

Common Traps

- HDI = **life + education + income** — not environment; post-2010 living standard = **GNI PPP** (not GDP).
- First HDR **1990** (Haq); Priesner co-lead tag fails.
- Measure order: **PCI** → **PQLI (Morris)** → **HDI**; Capability Approach = **Sen**.
- GNH = **Bhutan**; Happiness Report rank ≠ HDI rank.
- Kerala tops State HDI; Bihar usually bottom; first State HDR = **Madhya Pradesh (1995)**.
- BNI = **26** indicators, **five** dimensions, 2012 & 2018.
- GII introduced HDR **2010**; LEI bounds **85 / 20** (current).
- Social indicators: **not size of house**.
- Alagh = nutrition-exclusive line; Naoroji = jail cost of living.
- Demographic dividend = **15–59** in UPPCS key (not 0–6 / 60+ / 14–50).

- Natural growth = **CBR – CDR** (not migration); Great Divide = **1921**; sync Census = **1881**.
- Density 2011: **Bihar** highest, **Arunachal** lowest; 2001 densest State was **West Bengal**.
- Decadal growth 2001–11 $\approx$ **17.7%**; Meghalaya highest State growth; **Nagaland** negative.
- Malthus: population **geometric**, food **arithmetic**; preferred check = birth control / moral restraint.
- Standard of living $\neq$ demographic feature.
- Urban share 2011 $\approx$ **31.1%**; most urbanized State **Goa**; least **Himachal**; largest urban absolute **Maharashtra**.
- Census urban = $\geq 5,000 + \geq 75\%$ male non-agri + density ≥ 400 — **not** physical expansion.
- Million+ cities: **35 (2001) → 53 (2011)**; Class I holds most urban population.
- Cultural diversity / informal ties swap: diversity = urban; informal ties $\neq$ urban feature.
- High rural living standards are **not** a cause of urbanization.
- JNNURM = Dec **2005**, ~ 7 years — not electrification-centred / not 10-year.
- World Population Day = **11 July**; ~ 8 billion $\approx$ **Nov 2022**; India's world share 2011 $\approx$ **17.5%**.
- UNFPA = State of World Population; densest continent **Asia**; fastest growth continent **Africa**.
- New Population Bomb = Third World **urban** surge; Folk–Urban Continuum = **Redfield** (Mexico).
- Most populous Islamic country = **Indonesia**; Africa most populous = **Nigeria**; India FP programme **1952**.
- World urban share mid-2010s $\approx$ **55%**; Asia fastest recent urbanization growth among regions.
- Disguised $\neq$ seasonal; LFPR $\neq$ unemployment rate.
- Human capital returns via **productivity** (education + health).
- **Brundtland $\neq$ Limits to Growth**; Agenda 21 = **1992**, not 1995.
- Social capital = **trust/harmony**; irrigation $\neq$ human capital.
- Inclusive growth $\neq$ high NI growth alone; NBFC banking $\neq$ inclusive governance.
- EKC = **inverted U**; Meadows horizon $\approx$ **100 years**.
- HCI 2020 top = **Singapore**; India $\approx$ **116**.
- Circular economy: less raw material + less waste $\rightarrow$ lower GHG.
- ADP = **Jan 2018** / 112 districts; ABP = **Jan 2023** / 500 blocks — do not swap.
- PM-JAY = **₹5 lakh per family** (not per person); implementer = **NHA**; launch Ranchi **2018**.
- ABDM participation is **voluntary**; portability statement is the true one in the classic stem.
- RSBY = **unorganised** BPL; now under PM-JAY umbrella teaching.
- NRHM = **12 April 2005** / **Tenth** Plan; ASHA does **not** conduct deliveries as a standard job.
- PMKVY = **MSDE** (not Labour); STRIDE $\neq$ skill scheme.
- Ujjwala launch desk = **Ballia**; Saubhagya = **Power** ministry.
- Bharat Nirman $\neq$ rural sanitation / SSA / hospitals; JJM $\neq$ AMRUT (rural taps vs urban mission).
- Swadhar $\neq$ Swayam Siddha labels; JSY $\neq$ wage-loss reimbursement.
- SGSY = **1999**; restructured as **NRLM (June 2011) → DAY-NRLM (Mar 2016)**; SHGs + skills — not free farm kits / new factories.
- MGNREGA = **100 days per household + legal right**; force **2 Feb 2006** / 200 districts; rename **2 Oct 2009**.
- SJSRY = **urban** (1 Dec 1997); excludes PMRY; Nehru Rozgar = three urban schemes.
- CDP = **2 Oct 1952** / **S.K. Dey**; NES = **1953**.
- APY: unorganised + spouse continuation; "only one member" false.
- PM-SYM / Kisan Maan-dhan: **₹3,000** after 60; PM-SYM family pension = **spouse only**.
- AABY = **2 Oct 2007** / rural landless; age **18–59** (not 30–65).
- SBM = sanitation/ODF (**2014→2019** target) — not drinking-water aim; WaterCredit $\neq$ WHO/World Bank.
- NSAP $\neq$ Mahila Kisan Sashaktikaran; RMSA $\neq$ employment programme.
- Alagh calories = **2400 rural / 2100 urban**; Tendulkar $\approx$ **₹26/₹32**; Rangarajan $\approx$ **₹32/₹47** (not adopted as live official line).

- Higher **Gini** = higher inequality; Lorenz shows distribution; Nurkse = vicious circle; Oscar Lewis = culture of poverty.
- SVAMITVA = **Panchayati Raj** + drones + CORS (not Mines; CORS ≠ web CORS).
- PMAY = Housing for All from **2015** toward **2022**; RAY = **slum-free India**; IAY → PMAY-G.
- SSA **2001** (6–14); Samagra = **SSA + RMSA + TE**; MDM **1995** → **PM POSHAN 2021**.
- MPLADS funds are **non-lapsable**; inspect ≥ **10%** works; SAGY = **11 Oct 2014**.
- Aadhaar first village = **Tembhli**; PURA = **Abdul Kalam**.
- MPI **2010** ≠ \$1/day line; HPI **1997** → MPI **2010**.

Topic 9 — External Sector, Foreign Trade and Global Economy

Current Affairs

Year	Fact	Why it matters
2024	Current account of BoP includes export and import of goods — not FDI, ECB or IMF loans.	Capital-account distractors.
2024	Flexible exchange rate = market demand–supply of forex; central bank does not “determine” that demand–supply.	A true, R false.
2024	Remittances 2022 ranks: India 1 · Mexico 2 · China 3 · Philippines 4.	Match-list code 2 3 1 4.
2024	Singapore as top FDI source (2023–24 teaching); Mauritius tax-treaty shift explains routing change.	Full A/R lives also in Topic 7.
UKPCS 2024	FEMA came into existence in 1999 (in force 1 June 2000).	Enactment year ≠ force date.
UKPCS 2025	FEMA from 1 June 2000 is true; “FERA is mainly for external debt liability” is false .	FERA was forex-control law.
UKPCS 2025	WTO MC-13 venue: Abu Dhabi (UAE), not Geneva HQ.	HQ ≠ ministerial venue.

Confused Pairs

A	B	Distinguishing fact
Balance of Trade	Balance of Payments	Goods gap vs full external transactions record
Trade deficit	Current Account Deficit	Merchandise only vs goods+services+income+transfers
Current account	Capital / financial account	Trade/income/transfers vs FDI/FPI/loans
FDI	FPI	Lasting control interest vs portfolio securities
Appreciation / depreciation	Revaluation / devaluation	Market float language vs official parity change
Flexible rate	Fixed rate	Market demand–supply vs defended parity
FERA 1973	FEMA 1999	Control-era criminalised regime vs management Act
FEMA enacted 1999	FEMA in force 1 June 2000	Existence year vs commencement date
Tariff	Non-tariff barrier	Border tax vs quota/standard/licence
WTO HQ Geneva	MC venue (e.g. Abu Dhabi)	Secretariat seat ≠ ministerial host city
Remittance	FDI	Transfer income vs equity/control investment
Export	Import	Earns forex vs spends forex

9.1 Trade, BoT and Balance of Payments

Trade deficit vs Current Account Deficit (CAD)

- **Trade deficit** = goods gap only.
- **CAD** = deficit on the whole current account after services, income and transfers.
- India often pairs a large merchandise deficit with a services surplus and strong remittance credits.
- A CAD must be financed by net capital inflows and/or a drawdown of foreign-exchange reserves.
- A sudden stop in capital inflows can force reserve loss or currency pressure even if the trade gap is unchanged.

UPPCS (Pre) 2024

Which of the following is included in the current account of the Balance of Payments?

A. Foreign Direct Investment B. External Commercial Borrowings C. Export and import of goods D. IMF loans

9.2 Forex reserves, exchange rates and convertibility

Exchange-rate regimes

Regime	How the external value is set
Flexible / floating	Market demand and supply of foreign currency
Fixed / peg	Official parity defended with intervention and/or controls
Managed float	Market path with occasional central-bank intervention

Common Traps

- Current account = goods / services / income / transfers — **not** FDI, ECB or IMF loans.
- Trade deficit $\neq$ CAD (CAD is broader).
- Flexible rate = market D&S; "Central Bank determines D&S" is **false**.
- Appreciation $\neq$ depreciation; devaluation $\neq$ market depreciation wording.
- Remittances **2022**: India 1, Mexico 2, China 3, Philippines 4 → code **2 3 1 4**.
- FEMA **1999** existence; **1 June 2000** force — FERA $\neq$ "external debt liability Act".
- FDI $\neq$ FPI $\neq$ remittance.
- WTO **has** dispute settlement; HQ Geneva $\neq$ MC-13 Abu Dhabi.
- WTO farm rules are not "allow all direct / ban all indirect".
- Full capital-account convertibility is **not** the same as current-account convertibility.

Topic 10 — International Institutions, Groupings and Summits

Current Affairs

Year	Fact	Why it matters
2025	Bretton Woods twins set up together; both HQ in Washington D.C. — World Bank is not in New York.	Only statement 1 correct.
2025	BIMSTEC members: Bangladesh, Bhutan, India, Myanmar, Nepal, Sri Lanka, Thailand — Indonesia is not.	ASEAN distractor.
2023	India's G20 logo: lotus with seven petals = seven continents .	Both statements correct.
2023	UP G20 venues included Agra, Varanasi, Greater Noida (and Lucknow) — not Kanpur.	Odd-city trap.
2022	5th BIMSTEC Summit (30 Mar 2022): Modi addressed; chaired by Sri Lanka , not India.	Only 1 true.
UKPCS 2025	BRICS expansion members include Iran, Egypt, Ethiopia, UAE (2024) and Indonesia (2025).	Membership multi-select.
UKPCS 2024/25	ASEAN Secretariat Jakarta ; BIMSTEC Permanent Secretariat Dhaka ; MC-13 Abu Dhabi (Topic 9 neighbour).	HQ / venue traps.

Confused Pairs

A	B	Distinguishing fact
IMF	World Bank	Monetary / BoP stability vs development lending
IBRD	IDA	Near-market loans vs soft / concessional window
IFC	IBRD	Private sector vs sovereign development lending
World Bank HQ	UN HQ	Washington D.C. vs New York
ADB (Manila)	AIIB (Beijing)	Older Asian MDB vs China-initiated infra bank
NDB (Shanghai)	AIIB	BRICS bank vs broader AIIB membership
BRIC 2001 term	BRICS 2010	O'Neill acronym vs South Africa join
First BRIC Summit 2009	BRICS name 2010	Russia summit vs SA accession year
ASEAN (Jakarta)	BIMSTEC (Dhaka secretariat)	SE Asia ten vs Bay of Bengal seven
Indonesia	Thailand	ASEAN not BIMSTEC vs BIMSTEC member
SAARC Kathmandu	BIMSTEC Dhaka	Secretariat cities
G20	G7	Major economies forum vs advanced-seven club
G20 lotus 7 petals	G20 member count	Continents motif ≠ "20 petals"

10.1 Bretton Woods twins — IMF and World Bank Group

World Bank Group

Arm	Focus
IBRD	Near-market loans to middle-income / creditworthy borrowers
IDA	Soft / concessional finance for the poorest countries
IFC	Private-sector development finance

Arm	Focus
MIGA	Political-risk insurance
ICSID	Investment dispute settlement

Common Traps

- Bretton Woods twins = IMF + World Bank; **both** HQ **Washington D.C.** — not New York.
- IBRD ≠ IDA ≠ IFC; IFC ≠ IMF.
- ADB Manila ≠ AIIB Beijing ≠ NDB Shanghai ≠ ASEAN Jakarta.
- BRIC term **2001** (O'Neill); first summit **2009**; BRICS name **2010**; 10th Summit **South Africa 2018**.
- BIMSTEC ≠ ASEAN; **Indonesia** out; Secretariat **Dhaka**; 5th Summit chair **Sri Lanka**.
- SAARC first in India **1986**; SAARC Secretariat **Kathmandu**.
- G20 logo: **7 petals = 7 continents**; UP odd venue **Kanpur**.
- WEF → Global Competitiveness Index; IMF → WEO; UNDP → HDI.
- Inflated BRICS “~46% of world trade” is the usual NOT-correct line.

Topic 11 — Services, Cooperatives, Companies and Regulators

Current Affairs

Year	Fact	Why it matters
2025–26 (S.A.E.)	Services ≈ 54.35% of GVA at current prices; Industry ≈ 27.8% ; Agriculture & allied ≈ 17.9% .	Services > Industry > Agriculture.
2025	Consumers may bargain below MRP ; MRP is a ceiling (seller cannot charge above it).	A/R both true; R explains A.
2021	ECOMARC marks environment-friendly products — not “best quality” alone.	Eco-label trap.
2019	Mandatory CSR sits in Companies Act, 2013 (not a 2014 Act) at ≥2% of average net profits (not 1%).	Neither statement correct.
Still current	Ministry of Cooperation (2021) owns the cooperative policy desk at the Centre.	New ministry vs older MoA tag.
Still current	IFSCA regulates financial services in GIFT IFSC (Gujarat).	Not a second RBI for all India.
Still current	IRDAI HQ Hyderabad ; SEBI / many finance regulators often Mumbai-linked in teaching.	HQ match traps.

Confused Pairs

A	B	Distinguishing fact
Tertiary / services	Primary (forestry, fishing, mining)	Services vs resource extraction
Tertiary	Secondary (manufacturing / weaving)	Services vs industry processing
Storage of agri produce	Secondary industry	Storage = tertiary (trade/logistics family)
Construction in GVA	Services sector	Construction sits in industry, not services
Services > Industry > Agri	Older agri-first GDP order	Current GVA share order
Companies Act, 2013	CSR Rules, 2014	Parent Act vs notified rules / force date
CSR 2%	CSR 1%	Statutory floor is 2% of 3-year average profits
MRP ceiling	Must-charge price / MSP floor	Upper limit vs compulsory exact / minimum price
ECOMARC	ISI / BIS mark	Eco-label vs general product standards mark
ECOMARC	AGMARK	Environment-friendly products vs agri produce grades
IRDAI	PFRDA	Insurance vs pension / NPS
SEBI	RBI	Securities market vs banking / monetary
CCI	TRAI	Competition law vs telecom regulation
IFSCA	SEBI / RBI all-India	IFSC (GIFT) unified regulator vs domestic sector regulators
FSSAI	BIS	Food safety law vs general standards
Cooperative	Company	Member mutuality vs share capital company form
Ministry of Cooperation	Ministry of Agriculture alone	Dedicated 2021 desk vs older combined tags

11.4 Regulatory institutions — match desk

Regulator	Sector / mandate	Teaching tag
RBI	Banking, monetary policy, payment systems	Topic 3 depth
SEBI	Securities markets, mutual funds	Topic 4 depth; SEBI Act 1992
IRDAI	Life / general insurance, intermediaries	HQ Hyderabad ; IRDA Act 1999
PFRDA	NPS and pension products	PFRDA Act 2013 frame
CCI	Anti-competitive agreements, abuse of dominance, combinations	Competition Act 2002
TRAI	Telecom / broadcasting tariffs and interconnection	Est. 20 Feb 1997 (TRAI Act); HQ New Delhi ; disputes → TDSAT
IFSCA	Financial products / services in IFSCs	GIFT City unified regulator
FSSAI	Food safety standards	FSS Act 2006; Health ministry lane
BIS	National product standards / certification	ISI marks teaching

Common Traps

- Tertiary = services; **forestry / fishing / mining ≠ tertiary; construction ≠ services** in GVA.
- **Storage of agri produce** and **marketing** = tertiary; **weaving** = secondary; **dairy farm** = primary.
- GVA order (recent): **Services > Industry > Agriculture** — “services only 25% of GDP” is false.
- Within services, finance–real estate–professional is often the largest sub-share of total GVA.
- CSR = **Companies Act, 2013** + **≥2%** of 3-year average profits — not Act 2014, not 1%.
- Employee-only / company-direct benefits ≠ CSR; India = first mandatory CSR country.
- Kotak Committee: separate Chair and MD — “must remain the same” is the wrong statement.
- MRP = **ceiling** (bargain below OK; charge above unlawful) — not a must-charge price (read booklet Reason carefully).
- ECOMARC = **environment-friendly** — not ISI “best quality,” not AGMARK, not export/import tag.
- AGMARK = DMI agri grades (**1937** Act) — **not** FAO / FCI; FPO = processed fruit products; ISO 14001 = environmental management.
- TRAI = **1997**, HQ **New Delhi**; BSNL ≈ **2000**; Project Arrow = **post offices (2008)**; USOF = rural telecom subsidy fund.
- IRDAI ≠ PFRDA ≠ SEBI ≠ RBI; IFSCA ≠ all-India SEBI.
- FSSAI = food; BIS = standards; CCI = competition; TRAI = telecom.
- Ministry of Cooperation **2021**; Article **43B** cooperatives.
- Services GDP share ≠ services employment share.

Topic 12 — Economic Laws, Reports, Rankings and Misc

Current Affairs

Year	Fact	Why it matters
2024	Economic Survey 2022–23: response to supply shocks included reducing taxes on fuel and certain imports — not cutting food/fertiliser subsidies or raising fuel taxes.	Only statement 3.
2023	Survey services “NOT correct”: e-commerce fashion/grocery share “by 2030 ” — Survey said ~next four years (~ 2027).	Year trap.
2023	HDR 2021–22: India’s HDI rank slipped to 132 (from prior ~130/131 band) — “upgrade” wording fails.	Direction trap.
2022	World Happiness Report 2022 : India 136th .	Year-bound rank.
2020	Doing Business: India 77 (DB 2019) and 63 (DB 2020); report later discontinued .	Learn both ranks.
2019	PQLI by Morris D. Morris — not UNDP / Haq.	Author trap.
2019	GHI 2017 : India 100th .	Edition-bound.
2018	Global Peace Index 2018 : India 136th (IEP).	Edition-bound.

Confused Pairs

A	B	Distinguishing fact
Economic Survey	Union Budget	Review / narrative day-before vs Annual Financial Statement
HDI rank rise (number)	HDI improvement	Larger rank number = worse place
“Slipped” to 132	“Upgraded” to 132	Direction word decides the stem
PQLI (Morris)	HDI (UNDP / Haq)	Older physical-quality index vs UNDP HDI
GHI edition year	Latest GHI you remember	Stem year wins
World Happiness 2022 = 136	Later Happiness ranks	Edition-bound
Doing Business 2019 = 77	Doing Business 2020 = 63	Two-step improvement; report later stopped
GPI (IEP)	Happiness Report	Peacefulness vs life-evaluation
IBC 2016	RERA 2016	Insolvency resolution vs real-estate regulation
PMLA	FEMA	Money-laundering criminal law vs forex management
SDG India Index (NITI)	Global SDG indices (SDSN)	Domestic state dashboard vs global country ranks
GII 2010	HDI 1990	Gender index entry vs first HDR
Brundtland / Our Common Future	Limits to Growth	1987 WCED vs 1972 Club of Rome (Topic 8)
Aspirant / Performer / Front-runner / Achiever	Any other score bands	0–49 / 50–64 / 65–99 / 100
Kerala + Uttarakhand 79 (2023–24)	Older Kerala-only top	Joint top in latest NITI edition

A	B	Distinguishing fact
SDG-6 water	SDG-7 energy	Clean water vs clean energy
PAT (BEE / Power)	NCAP (MoEFCC, 2019)	Industry SEC / energy trade vs city clean-air strategy
MISHTI (Budget 2023–24)	LiFE (COP26 2021)	Mangrove shoreline income vs lifestyle climate call
NEP 2020 (Kasturirangan)	NEP 1986	New policy vs ~34-year predecessor (not “38”)
Raghavan Committee	Narasimham Committee	Competition Act path vs banking reforms
DigiLocker	Saaransh	Citizen e-document wallet vs NeGP MMP compendium
UDAY	Saubhagya / UJALA	Discom financial turnaround vs household electrification / LED

12.1 Economic laws and codes — short desk

Act / code	Year tag	One-line job
IBC	2016	Time-bound insolvency resolution
RERA	2016	Real-estate project / promoter regulation
Competition Act	2002	Fair competition / CCI
Companies Act	2013	Company law + CSR
Consumer Protection Act	2019	Consumer rights / e-commerce
FEMA	1999 / force 2000	Forex management
FERA	1973	Old forex control law
PMLA	2002	Money-laundering prevention
SEBI Act	1992	Securities regulator statute
RBI Act	1934	Central bank statute
Labour Codes	2019–20 teaching	Four codes consolidating labour laws
FRBM	2003 teaching	Fiscal responsibility framework

12.3 Indices and rankings — publisher + year

17 SDGs — must-score titles

SDG	Title
1	No Poverty
2	Zero Hunger
3	Good Health and Well-being
4	Quality Education
5	Gender Equality
6	Clean Water and Sanitation
7	Affordable and Clean Energy
8	Decent Work and Economic Growth
9	Industry, Innovation and Infrastructure
10	Reduced Inequalities
11	Sustainable Cities and Communities

SDG	Title
12	Responsible Consumption and Production
13	Climate Action
14	Life Below Water
15	Life on Land
16	Peace, Justice and Strong Institutions
17	Partnerships for the Goals

Common Traps

- Survey ≠ Budget; read the **edition year** before picking Survey facts.
- E-commerce “two-thirds” = ~**2027 / next four years**, not **2030**.
- HDI: larger rank number = **worse**; “slipped” ≠ “upgraded”.
- PQLI = **Morris D. Morris** ≠ UNDP/Haq HDI.
- Ranks are edition-bound: GHI 2017 = **100**; Happiness 2022 = **136**; GPI 2018 = **136**; EoDB **77** → **63** then discontinued.
- IBC & RERA = **2016**; PMLA Director **can** call FI records.
- GII = HDR **2010**; first HDR = **1990**.
- SDG India Index = **NITI**, not IMF/World Bank.
- NITI categories: Aspirant **0–49** / Performer **50–64** / Front-runner **65–99** / Achiever **100**.
- 2023–24 joint top = **Kerala + Uttarakhand (79)**; Bihar lowest **57**.
- UP: Performer (2019–20) → Front Runner (2023–24) — year matters.
- Gujarat **not** top-five in 2019–20 / 2020–21.
- SDSN global ranks are edition-bound (2016=110; 2017=116; 2025=99).
- SDG-6 = water; SDG-15 = life on land; GSDR = every **four years**, not quarterly.
- NITI SDG India Index ≠ SDSN global SDG Index.
- PAT = **2012** BEE energy-intensive SEC cut ≠ NCAP **2019** clean air ≠ MISHTI Budget **2023–24** ≠ LiFE **COP26**.
- NEP 2020 = Kasturirangan; replaces **1986** (~**34** years, not 38); vocational from **Grade 6**.
- Competition Act ← **Raghavan**; CCI founded **14 Oct 2003**.
- DigiLocker = Digital India e-docs; **Saaransh** = NeGP Mission Mode Projects book.
- UDAY = Discom turnaround (**2015**); Surya Ghar = rooftop solar + free-units teaching (**2024**).
- UN years: **2023 Millets**; **2025** Peace and Trust; **2026** Woman Farmer; **2027** Sustainable Tourism; **2029** Asteroid Awareness.
- “Missing women” = **Amartya Sen**; Marginal Man = **Robert E. Park**; Global Village = **McLuhan** (transport/communication).
- East–West corridor = **Silchar–Porbandar**; Golden Triangle tourism = **Delhi–Agra–Jaipur**.
- GQ longest arm teaching = **Chennai–Kolkata**; Amrit Bharat UP Feb 2023 = **149** stations.
- Kamaiya = Nepal bonded labour; colonial India = raw-material supplier (**not** manufactured-goods exporter to Britain).
- Arthashastra = **15** adhikaranas; Athavana = Vijayanagara revenue department.
- BRI = China; O-SMART = MoES oceans; Yamuna Expressway = Greater Noida–Agra.